COURSEWORK SUBMISSION TEMPLATE

Students: In preparing and submitting this assessment,

please ensure you adhere to the Coursework

Student number: (for group work please include the numbers of all participating students)	3103914
Word count (including footnotes):	999

Question(s)/Assignment to be answered (e.g. Essay title):

Using the theories of regulation discussed in this course, critically assess the EU's decision to adopt a risk-based regulatory approach in the AI Act. Draw on the course readings to analyse whether and how these theories help to explain the advantages and limitations of the EU's approach, and its decision to govern AI in this way.

Students: your coursework submission should be inserted below, indicating question numbers (where there are multiple elements):

1. Introduction

The EU AI Act uses a risk-based framework, scaling duties from unacceptable and high-risk to lighter rules for limited and minimal-risk systems.[1] This essay applies regulatory theories to explain its strengths and weaknesses. Public-interest accounts support concentrating strict controls where harms and rights risks are greatest. Institutionalist views highlight decentralised, meta-regulatory tools—supply-chain duties, conformity assessment, and post-market monitoring. Private-interest and strategy critiques caution that boundary setting, standards, and weak enforcement may sometimes blunt protection.

2. Assessment

Public-interest theories provide justification for the EU's risk architecture because, under limited resources and compliance capacity, it targets intervention where AI's social costs are highest. They frame regulation as a response to externalities and information asymmetries,[2] and to rights-based and social rationales.[3] A tiered model maps onto these rationales: the AI Act prohibits unacceptable-risk uses that are hard to reconcile with fundamental rights—manipulative or deceptive techniques, social scoring, and some biometric practices[4]—while imposing obligations on high-risk applications in contexts such as education and employment.[5] This is attractive in welfare terms because harms in these domains are not marginal: errors or bias could translate into exclusion, discrimination, or coercive state action. Conversely, limited-risk systems face transparency duties,[6] and minimal-risk systems are left largely unregulated or guided by voluntary codes.[7] In public-interest terms, this is a proportional allocation of compliance burdens and enforcement attention and avoids burdens on low-risk systems.

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[1] Martin Ebers, 'Truly Risk-based Regulation of Artificial Intelligence How to Implement the EU's AI Act' (2025) 16 European Journal of Risk Regulation 684, 687.

[2] Bronwen Morgan and Karen Yeung, *An Introduction to Law and Regulation: Text and Materials* (CUP 2012) 18.

[3] Robert Baldwin, Martin Cave, and Martin Lodge, *Understanding Regulation: Theory, Strategy, and Practice* (2nd edn, OUP 2011) 22–23.

[4] Regulation (EU) 2024/1689 (AI Act), art 5(1)(a), (c), and (g)–(h).

[5] ibid, annex III, points 3 and 4.

[6] ibid, art 50.

[7] ibid, art 95.

Institutionalist theories explain why a risk taxonomy is also institutionally useful for governing AI across the EU. They treat regulation as decentred regulation and operating within a regulatory space populated by state and non-state actors,[8] using co-regulation and meta-regulation rather than a single command structure.[9] The AI Act follows this hybrid logic: it assigns duties across the AI supply chain—providers, deployers, importers, and distributors[10]—and, for high-risk systems, relies on organisational processes such as classification rules, conformity assessment, and post-market monitoring.[11] This resembles meta-regulation: firm build organisational controls, while 'regulatory authority' ensures that those controls function correctly.[12] Rules on general-purpose AI and systemic risk models also reach upstream, using capability and impact indicators, such as compute thresholds and measures of market reach.[13] That appears to reflect an effort to tailor regulatory approaches to complex, multi-level technological ecosystems, rather than treating AI as a single product category.

However, private-interest theories suggest that the AI Act's risk taxonomy is not a neutral technocratic device but a product of distributive politics and organised interest, thereby exposing structural limits in a risk-based regime. They note that regulation may serve organised interests, shaped by lobbying and economic power, and can operate as a mechanism of regulatory favours.[14] In a taxonomy, a distributive struggle is boundary drawing—which use-cases count as high-risk, how broadly prohibitions are drafted, and where thresholds for systemic-risk models are set. Because high-risk classification normally triggers expensive compliance processes, firms may have incentives to narrow the high-risk perimeter, carve out exceptions, or push contested uses into limited or minimal categories. Risk-based regulation could therefore be politically feasible signalling strong protection while avoiding blanket regulation, yet normatively fragile in that its protective effect depends on contested

[8] Morgan and Yeung (n 1), 59–60.

[9] Pedro Rubim Borges Fortes, Pablo Marcello Baquero, and David Restrepo Amariles, 'Artificial Intelligence Risks and Algorithmic Regulation' (2022) 13 European Journal of Risk Regulation 357, 361.

[10] AI Act, art 3.

[11] ibid, annex III and arts 43 and 72.

[12] Baldwin, Cave, and Lodge (n 2), 147.

[13] AI Act, arts 51(1)–(2), annex XIII, points (c) and (f), and recitals 110–111.

[14] George J. Stigler, 'The Theory of Economic Regulation' (1971) 2 The Bell Journal of Economics and Management Science 3, 3 and 12.

classification choices. Capture risks might also arise through the technical infrastructure of compliance. If standards and assessment practices are dominated by well-resourced incumbents, the regime may indirectly entrench market power and raise barriers to entry. This ironically clashing with the public-interest theories' concerns about monopolies.[15]

Finally, regulatory-strategy critiques clarify implementation trade-offs. They warn that command-and-control can be legalistic, slow and expensive to enforce,[16] while and meta-regulation and self-regulation can lack accountability if firms' internal controls are weak;[17] self-regulation poses similar concerns. The AI Act inherits both risks. Post-market monitoring demand institutional capacity and technical expertise;[18] without credible auditing and sanctions, the system could devolve into paperwork compliance. At the same time, because classification is application-based,[19] the same underlying technology may be placed in different categories depending on context. This creates edge cases and may result in under-inclusiveness, such as cumulative harms from minimal risk systems, as well as over-inclusiveness, such as high compliance burdens where risk is low in practice.

3. Conclusion

Overall, regulatory theories illuminate both the appeal and fragility of the AI Act's risk taxonomy. It can allocate burdens proportionately and enable hybrid governance, yet its effectiveness depends on contested classifications, inclusive standard-setting and enforcement. Without these safeguards, risk-based design may become symbolic, under-protect rights, or entrench incumbents through costs.

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[15] Morgan and Yeung (n 1), 18.

[16] Dalia Gilbert, 'Corporate Social Responsibility' in Myron Harrison and Christine Coussens (eds), *Global Environmental Health in the 21st Century: From Governmental Regulation to Corporate Social Responsibility* (The National Academies Press 2007) 85.

[17] Parker Christine, 'Meta-Regulation: Legal Accountability for Corporate Social Responsibility' in David Kinley (ed), *Human Rights and Corporations* (Routledge 2009) 352.

[18] UNESCO, 'Pathways on Capacity Building for AI Supervisory Authorities: Insights and Recommendations From the 1st UNESCO Expert Roundtable on AI Supervision' (Document Code: SHS/REI/EAI/CAAI/2025/PR, UNESCO 2025) 18.

[19] European Commission, 'European Approach to Artificial Intelligence' (*Shaping Europe's Digital Future*) <https://digital-strategy.ec.europa.eu/en/policies/european-approach-artificial-intelligence> accessed 7 February 2026.